



Primegate

A PERSONAL PRACTICE OF TARAN AUJLA

PRACTICE NOTE · BUSINESS + REAL ESTATE

Selling a business with its real estate. *What the asking price hides.*

Two-asset valuation, going-concern transfer, lease structure, working capital, confidentiality, and financing reality. The variables that decide whether a going-concern sale closes cleanly, or unravels at the diligence stage.

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HOMELIFE G1 REALTY INC., BROKERAGE

A plaza, a gas station, an industrial building with an operating tenant, a small motel. On the listing, each of these reads as a single asset with a single price. In the underwriting that follows, each of them is two assets with two valuations and an allocation between them.

These are going-concern transactions: the buyer is acquiring an operating business along with the real estate it occupies. The going-concern element is what separates these deals from a pure commercial real estate sale, and it is what most agents and most parties underestimate.

Most deals in this category go badly when the parties treat the transaction as either a real estate sale or a business sale, when it is in fact both. The variables that decide the outcome sit at the intersection.

Below: the questions I work through on every file where a business and its real estate are being sold together. Not in order of importance. In order of when each one matters.

1. The two-asset valuation problem. Business value, real estate value, and the allocation between them.

A bundled price tag is a presentation. Underneath it sit two assets that get valued by different methods, on different inputs, with different sensitivities to market conditions.

The business is typically valued on a multiple of normalised earnings (recurring profit adjusted to remove one-time items, owner-specific compensation, and related-party transactions), on a comparable-sales basis against similar businesses recently sold, or on a hybrid of the two. The real estate is valued on a capitalisation rate (NOI divided by purchase price) against the property's market rent or the imputed rent the business pays, and on comparable sales of similar buildings.

The allocation between the two has consequences. Capital gains treatment, CCA recapture (where previously claimed Capital Cost Allowance is added back to income on disposition), GST/HST application, vendor's recapture exposure, the buyer's depreciation profile, and the financing structure available against each piece all depend

on how the price is split. The split needs to be confirmed with tax counsel and accountants for both parties before the deal firms up. It is not a transaction term to leave to closing.

What I look at:

- Whether the seller has an updated valuation of the business that the buyer's lender can rely on.
- Whether the real estate has been appraised within the past twelve months at a value consistent with the requested allocation.
- Whether the financial statements supporting the business valuation have been normalised for owner-compensation, related-party transactions, and one-time items.
- Whether the allocation in the offer is consistent with what the buyer's accountant and lender will accept.

A bundled price without a defensible allocation is an unfinished offer. It is not yet a deal.

2. The going concern. What survives the sale, and what walks out the door.

A going-concern transaction transfers an operating business. The question is what the buyer is actually receiving on the day after closing.

What I look at:

- Key staff. Whether they are aware of the sale, whether their continued employment is essential to the operation, and whether non-competition or non-solicitation obligations apply.
- Customer relationships. Whether revenue is concentrated in a small number of accounts, whether those accounts are tied to the location or to the operator personally, and whether any contracts contain change-of-control provisions

(clauses that let the counterparty terminate or renegotiate when ownership of the business changes).

- Supplier contracts. Whether key supply agreements are assignable, whether consent is required, whether the supplier has a right of first refusal on the location, and whether pricing was personal to the previous operator.
- Franchise, branding, or co-op agreements. Whether the franchise can be transferred, what the transfer fee is, whether the franchisor must approve the buyer, and what the franchise renewal terms look like over the next ten years.
- Permits, licenses, and consents. Liquor licence, gas station fuel supply contract, motor vehicle dealer registration, business licence, environmental approvals where applicable. Each has its own transferability rules and timelines.
- Goodwill. How much of the buyer's goodwill is in the location, and how much is in the operator personally. The split changes what the buyer is actually buying.

The going concern is the asset. The asset has to walk into the buyer's hands intact, not in pieces.

3. The lease problem. When the operator is also the landlord.

In most owner-operated transactions, the same person owns the real estate (often through a holding company) and operates the business (often through an operating company). The lease between the two is rarely arm's length, and the rent figure on the operator's books is sometimes whatever was convenient for tax planning.

This matters at the moment of sale. If the buyer is acquiring both the real estate and the business, the lease will be collapsed and a single ownership structure put in place. If the buyer is acquiring only one of the two, the lease becomes the central document.

What I look at:

- Whether the existing lease (if any) reflects current market rent for the building. A below-market rent inflates the apparent business cash flow and depresses the apparent real estate cap rate. A buyer of one piece without the other inherits the gap.
- Whether the deal is structured as a sale of both assets to the same buyer, a sale of the real estate to one party with a leaseback to the operating buyer, or two parallel sales to different buyers.
- The lease term, renewal options, rent escalators, and assignment rights that will govern the going-concern operation post-closing.
- Tenant improvement obligations, environmental indemnities, and end-of-lease restoration provisions that may be triggered by the sale.

When the operator and the landlord are the same person, the lease is fictional. When they are different people the day after closing, the lease is the deal.

4. Working capital. The variable that gets left out of the listing price.

A listing price for a business with real estate covers the two assets. It does not cover the working capital that keeps the business operating from one day to the next.

What I look at:

- Inventory. Whether it transfers at cost, at a marked-down value, or at an audited count taken close to closing. Whether the inventory mix is current and saleable, or whether it includes long-tail and obsolete stock.
- Accounts receivable. Whether the buyer is taking the AR or whether the seller is collecting post-closing. The choice changes the cash flow on day one.
- Prepayments and deposits. Customer deposits, prepaid contracts, gift cards, layaway accounts. These transfer with the business as a liability the buyer will satisfy.

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- Accounts payable and accrued liabilities. Same logic in reverse. What is the seller settling at closing, and what is the buyer assuming.
 - The working capital adjustment mechanism. Whether the deal contains a target working capital and a true-up at closing, or whether the parties accept the working capital as-is on the closing date.

Working capital is small relative to the asset price on most deals. It is also where avoidable disputes happen most often after closing. Setting the mechanism at the offer stage avoids the dispute.

5. Confidentiality during the sale. How it actually gets managed.

A going-concern sale needs to stay confidential through the marketing and diligence period. Staff who learn of a pending sale tend to look for other jobs. Customers who learn of a pending sale tend to slow ordering or test the competition. Suppliers who learn of a pending sale sometimes tighten payment terms. Each of these reactions reduces the value of the asset the buyer is acquiring.

What I look at:

- The marketing approach. Whether the listing uses a blind teaser, a code name, or a discreet outreach to a curated buyer list. Whether the property address and business identity are protected until a buyer is qualified.
- The NDA discipline. Whether prospective buyers sign a confidentiality agreement before receiving any identifying information, and whether the NDA includes a non-solicitation of staff and customers.
- The information staging. What information is shared at first contact, what is shared after qualification, and what is reserved for diligence after a letter of intent.
- The communication plan with staff. When and how the announcement is made, ideally close to closing, and what the seller will say about retention, role, and continuity.

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- The communication plan with key customers and suppliers. Whether reassurance calls are needed before or after announcement, and who makes them.

Confidentiality is not a courtesy. It is a value preservation mechanism. The deal that closes at the asking price is often the deal that stayed quiet long enough to close.

6. The buyer's financing reality.

A buyer of a business with its real estate is asking a lender to underwrite two assets simultaneously. Most lenders are organised around one or the other. The few that are organised around both have specific programs and specific patience for these files.

What I look at:

- Whether the buyer has spoken to a lender experienced with going-concern plus real estate, and whether a preliminary credit application has been worked through before the offer.
- Whether the financing structure contemplates a BDC (Business Development Bank of Canada) component, a small business program through a chartered bank, a bank first mortgage on the real estate plus a separate operating loan on the business, or a vendor takeback (where the seller finances a portion of the purchase price for the buyer, typically secured against the assets) to bridge the gap.
- The personal guarantee position. On these deals it is almost always required of the principal buyer. The buyer should know this at the offer stage, not at financing condition stage.
- The diligence the lender will require. Updated environmental on the real estate, audited financials on the business, a quality of earnings review (an accountant-led validation of the business's reported earnings, used by lenders and buyers to confirm the numbers are real), and personal credit underwriting on the principal. Each adds time.
- The timeline reality. Financing on these deals takes longer than residential or pure commercial real estate. The conditional period in the offer needs to reflect that.

Financing is the deal-breaker that surfaces last. Putting it first in the conversation changes the timeline and the certainty of close.

A note on what this practice does in this lane.

The work above sits at the start of the transaction, before the offer is firm and before the diligence period begins running. Most of it is not visible from the listing. Most of it is not negotiable after the offer is firm. The deals that close cleanly in this category are the ones where the variables were named and structured at the front.

For owner-operators considering an exit, and for buyers acquiring businesses sold with their real estate, this is the part of the work that benefits most from a representative whose orientation is the transaction itself, on both sides of the asset.

The practice is run with a deliberately limited active roster. New conversations are welcome.

This piece is a written observation from the practice. Not legal advice. Legal opinions stay with your lawyer.